MARK SCHEME

AQA GCSE (9-1) Business

Unit Assessment

This Mark Scheme covers:

3.3 Business operations

(Volume 2)

tutor2u

Section A

Total for this section: 12 marks

Multiple Choice Questions

Question number	Answer
1.1	C
1.2	C
1.3	D
1.4	C

Q1.1 – Q1.4 = AO1 x 4 **(1 mark for each correct answer)**

01.5 Identify **two** ways a business can identify quality problems.

(2 marks)

Marks for this question: AO1 - 2 marks

1 mark for each correct way identified up to a maximum of 2 marks.

Answers may include:

- Mystery shoppers
- Customer service surveys
- Number of repeat sales
- Amount of returned products
- Volume of complaints from customers
- Quality control checks
- Quality assurance
- Total quality management (TQM)

01.6 Explain **one** advantage of job production.

(2 marks)

Marks for this question: AO1 - 2 marks

1 mark for identifying an advantage and 1 mark for some development.

Possible answers may include:

- Able to meet the exact requirements of customers
- Highly flexible
- High levels of customer satisfaction
- Increased levels of employee motivation
- Products are usually high quality
- Unique products can be produced
- High prices can be charged
- Businesses are able to differentiate their products from rivals

Example of a developed answer

Highly flexible (1) which means the exact requirements of customers can be met (1.

01.7 State and explain **two** methods of post sales service.

(4 marks)

Marks for this question: AO1 – 4 marks

1 mark for stating a method and 1 mark for some development x 2.

Answers may include:

- User training
- Help lines
- Servicing
- Warranties/guarantees
- Exchanging/refunding goods that do not meet customer needs or are faulty
- Efficient delivery of products

Examples of a developed answer

Help lines (1). These provide customers with information and advice following a purchase of a product over the telephone (1).

Servicing (1). A business may provide regular maintenance/repairs on a product purchased (1).

Markers note:

Do not accept exchanging/refunding goods as two different points if the explanations are similar; each answer must be distinct.

Section B

Total for this section: 23 marks

02.1 Using Item A, calculate the average number of tea bags a tea drinker in the UK uses each day in one year.

Show your workings.

(2 marks)

Marks for this question: AO1 – 2 marks

2 marks for calculation.

4 tea bags (2)

Method 1
1,460/365 (1) = 4 tea bags (1)

Method 2
1 460/52/7 (1) = 4.01 tea bags (1)

02.2 Explain **one** customer expectation of quality when buying products from Yorkshire Tea.

(4 marks)

Marks for this question: AO1 - 2 marks AO2 - 2 marks

Level	Description	Mark
2	Sound understanding and application of the topics. • Applies knowledge and understanding to the context sufficiently. • A sound understanding of one or more business concepts and issues.	**3-4** **AO2** **AO1**
1	Basic understanding and application of the topics. • Applies basic knowledge and understanding to the context. • A basic understanding of one or more business concepts.	**1-2** **AO2** **AO1**
0	Nothing worthy of credit	**0**

Answers may include:

Knowledge and application:

- **Flavour** – for many tea drinkers, taste is the top priority when choosing their type of tea
- **Taste** – Yorkshire Tea employ professional tea tasters to guarantee the quality and taste of the product
- **Value for money** – paying a price that reflects the consistent quality of the tea purchased
- **Sustainability** – the replacement of oil-based plastic in their tea bags with a plant based plastic called PLA
- **Environmental issues** – CarbonNeutral® certified which has led to the planting of over 1.5 million trees in Kenya with over 4,000 tea farmers
- **Ethical trading** – paying suppliers fair prices

Examples of a L2 developed answer

One expectation is flavour. This is because a recent survey that focused on quality in tea found that a consistent taste/flavour were the top priorities expected by customers. Yorkshire Tea works hard with suppliers to ensure they provide consistent quality in their tea leaves which then enables the business to provide customers with the same taste they want every time they make a cup of tea. This will help Yorkshire Tea to continue to grow its sales each year and encourage brand loyalty, as the quality expectations of its customers will be met.

02.3 Analyse **one** benefit to Yorkshire Tea of effective logistics throughout the tea production process.

(6 marks)

Marks for this question: AO2 - 3 marks AO3 - 3 marks

Level	Description	Mark
3	Detailed analysis of topics based on the context. • Business areas are fully analysed. • Applies knowledge and understanding to the context sufficiently.	**5-6** **AO3** **AO2**
2	Sound analysis of topics based on the context. • Business areas are partially analysed. • Applies some knowledge and understanding to the context.	**3-4** **AO3** **AO2**
1	Basic analysis of topics based on the context. • Basic analysis of business areas. • Basic knowledge and understanding is applied to the context.	**1-2** **AO3** **AO2**
0	Nothing worthy of credit	**0**

Answers may include:

Application:

- **Freshness and quality of tea can be assured** – the tea leaves will arrive on time from the farmers which means the tea can be efficiently mixed, bagged and packed to ensure freshness
- **Tea tasters and production line workers will not be idle** – tea tasters need the tea delivered on time in order for the tasting and selection of tea leaves to take place and the production process to progress
- **Yorkshire Tea sells its products both in the UK and internationally** – the efficient movement of tea leaves in the correct volumes and quality throughout the production process will mean that orders for its products can be successfully met in the UK and across the world
- **Last year, Yorkshire Tea sales grew 16.2% to £35 million** – efficient logistics will mean that sales of tea can be maximised as the production process will operate smoothly
- **Yorkshire Tea was the number one tea brand in the UK market in terms of sales value** – the business will be able to keep its reputation as a reliable producer of tea
- **Expectations of the large retailers which stock Yorkshire Tea products will be met** – retailers such as Sainsbury's and Tesco will order large volumes of tea to ensure they have the required amount of stock to keep their shelves full

Example of a L3 developed answer

One benefit of effective logistics is that the whole tea production process will run efficiently, as the correct resources, such as the tea leaves, will be in the correct place at the correct time. This will prevent any delays occurring and ensure that the tea tasters are able to perform their role rather than standing idle waiting for deliveries to arrive. Effective logistics will therefore ensure that Yorkshire Tea will be able to successfully fulfill the large number of orders for its tea across the UK and world. This will help Yorkshire Tea to maintain and even increase its sales from £35 million last year, as well as retain its position as the number one tea brand in the UK market in terms of value, as it will be classed as a reliable supplier to the retailers that stock its tea products.

02.4 Define the term customer engagement.

(2 marks)

Marks for this question: AO1 – 2 marks

1 mark for giving a limited description and 1 mark for some development.

Answers may include:

- The relationship that exists between a business and its customers
- Ways in which a business interacts with its customers
- Emotional connection between a customer and a business
- Positive customer engagement can lead to a high degree of brand loyalty/higher sales
- Social media is often used as a way to connect and engage with customers

Examples of a developed answer

Customer engagement refers to the different ways a business interacts with its customers (1), for example connecting through social media sites such as Facebook**.**

02.5 Recommend whether Taylors should increase the amount of customer engagement activities for its Yorkshire Tea brand.

Give reasons for your recommendation.

(9 marks)

Marks for this question: AO2 - 3 marks AO3 - 6 marks

Level	Description	Mark
3	Detailed analysis and evaluation of topics based on the context. • Sustained line of reasoning, which is coherent, relevant, substantiated with a focused conclusion that is fully justified. • Business areas are fully analysed. • Applies sufficient knowledge and understanding to the context.	**7-9** **AO3** **AO3** **AO2**
2	Sound analysis and evaluation of topics based on the context. • A line of reasoning, with a conclusion that has some justification. • Business areas are partially analysed. • Applies some knowledge and understanding to the context.	**4-6** **AO3** **AO3** **AO2**
1	Basic analysis and evaluation of topics based on the context. • Basic line of reasoning with a conclusion. • Basic analysis of business areas. • Basic knowledge and understanding is applied to the context.	**1-3** **AO3** **AO3** **AO2**
0	Nothing worthy of credit	**0**

Indicative content:

Application	Analysis
Yorkshire Tea regularly updates its customers on social media and through its website with news about the business and topical stories	Customer engagement devices, such as a Facebook page and a Twitter account, enable customers to voluntarily interact with the brand, for example through a like on Facebook. This will encourage customer loyalty from current and new customers and are popular methods of communication with many age groups. However, research suggests that the UK population is quite traditional in their drinking, are not adventurous and have enjoyed their tea the same way all through their life which means increasing the volume of customer engagement activities through these methods may not be successful.
Yorkshire Tea have invested £484,000 in charitable and community activities in the UK and £1,423,075 in to sustainability programmes.	Customer engagement activities, such as charitable donations, will help to raise awareness of Yorkshire Tea and generate interest in the brand enabling the business to build a relationship with its customers. Undertaking more activities such as thiese will encourage customer loyalty which will help Yorkshire Tea to remain as the number one tea brand in the UK in terms of sales value. However, independent research suggests that tea drinkers are not very adventurous when drinking tea and therefore increasing the amount of customer engagement activities through these methods may not be effective at generating sales and positive recommendations of the brand.
Independent research suggests that the UK population is quite traditional in their tea drinking; one fifth of the sample drink tea the same way as their parents.	Yorkshire Tea and Taylors recognise that it would be difficult to encourage consumers to switch tea brands. Therefore increasing the amount of customer engagement activities may not result in consumers' changing their tea drinking habits, which is supported by the independent research findings. However, Yorkshire Tea has experienced strong sales growth and has confirmed its place as the number one tea brand in the market in terms of sales value which suggests new customers can be attracted by providing the right product and building a positive relationship with its customers through more customer engagement activities.
Yorkshire Tea actively use social media as a way to engage with its customers.	If Yorkshire Tea increase its use of social media, there is an increased risk that customers may leave negative reviews/feedback, particularly if there is an overload of communication through these customer engagement methods. This may lead to a damaged reputation and a reduction in sales. However, given the suggestion that most people are not engaged with tea, any negative feedback/reviews may not be noticed or make any difference to the level of service and sales of Yorkshire Tea.

Application	Analysis
The business spent just under £2 million, £1,907,075, on customer engagement activities.	Increased spending on customer engagement activities will increase costs which will negatively impact profits. The business will employ staff to manage social media accounts and the charitable initiatives. However, if successful, such activities can translate into good service and increased sales which will help Yorkshire Tea to maintain its place as the number one tea brand in the UK in terms of sales value and will fit in with the Marketing Director's view that the business needs to do more to engage positively with its customers.
Sustainability was ranked as important in the survey of 2,000 tea drinkers.	Many of the customer engagement activities link to the long term sustainability of the tea brand. Therefore increasing the level of activity surrounding sustainability and ensuring the messages are in the right place so that tea drinkers are aware of Yorkshire Tea's actions will help to increase sales, brand loyalty and ultimately profits. However, more staff may need to be employed in order to manage the increased level of customer engagement activity which will increase costs.

Evaluation:

- The increased use of customer engagement activities will lead to higher costs but can potentially generate more interest with the Yorkshire Tea brand, which in the long term may lead to increased sales and the business continuing to be the number one tea brand in the market in terms of sales value.
- Customer engagement is likely to be one of many activities that Yorkshire Tea use to provide good service to try and increase sales. It is probable that the business will continue with customer engagement activities alongside providing other methods of good service to its customers in the future, such as fulfilling orders for tea on time. Therefore, is there really a need to provide more customer engagement activities, when the business does so much already?
- The decision depends upon whether Taylors and Yorkshire Tea can afford to provide an increased level of customer engagement activities. There is no information regarding the financial situation of the business. However, Yorkshire Tea is a successful brand, being number one in the UK market in terms of sales value, and therefore there is nothing to suggest that it cannot afford to continue and increase the amount spent on these activities.
- The Marketing Director believes that the Yorkshire Tea brand needs to do more to engage positively with its customers and change the perception of tea. The Marketing Director will be experienced in his role and will monitor the tea market carefully. Therefore, perhaps it is right that the business undertakes more customer engagement activities at this point.
- Yorkshire Tea is the number one tea brand in the UK in terms of sales value and also trades internationally. In order to retain this position, customers may expect the business to continue to donate to charitable causes and focus on sustainability in their decision making, as this was a key priority in the independent market research that was carried out with 2,000 tea drinkers. If customers are not engaged by tea, perhaps there should be more emphasis placed on ensuring that its customers are aware of Yorkshire Tea's existing customer engagement activities rather than increasing their number.
- Customer engagement is a key part of the sales process. More activities may not be necessary, but it will be important for the business to monitor that its current customer engagement activities are in fact effective, for example through the number of likes on Facebook and participation in community and charitable events. This is important to ensure that the business is efficiently using its resources, in order to provide high levels of customer service and to drive sales. If it is evident that these activities are not effective, the resources could be used to embark on new customer engagement activities rather than more.